

CAPITAL MARKETS

Nexus Bought the Land for \$14.4M. Here's What They Had to Believe.

A 48-unit condo project in Chelsea tops out, revealing the basis math that made it financeable.

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A source-grounded Light Tower Insight. The complete note follows.

Nexus Development just topped out a 12-story, 48-unit condominium at 35 West 14th Street. The milestone is not the story. The story is the land price they paid to get here: \$14.4 million in October 2023.

That was not a cheap month to buy New York development land. It was the month the 10-year Treasury yield touched 5 percent for the first time since 2007. Construction financing had effectively frozen for all but the most conservatively underwritten projects. The city's office market was still in freefall, and the condo market was pricing in a higher-for-longer rate regime that no one could yet prove would end.

Nexus bought anyway. The question is what they had to believe to make that \$14.4 million work.

They had to believe that the basis was low enough to absorb a construction loan priced at SOFR plus 350 or more. They had to believe that 48 units on an interior lot between Fifth and Sixth Avenues could command enough per-foot pricing to cover hard costs, soft costs, carry, and a developer profit that made the three-year hold worth the risk. They had to believe that the buyer pool in 2027 would still pay a premium for new construction in a submarket where the nearest subway is the F, L, M, PATH, 4, 5, 6, L, N, Q, R, and W trains at 14th Street.

That last part is the easiest to believe. The location is genuinely strong. But location alone does not make a development pro forma work. Basis does.

The \$14.4 million land price implies roughly \$300 per buildable square foot, assuming a typical 12-story residential floor plate. That is not cheap by historical standards, but it is disciplined relative to the peak. In 2021 and 2022, comparable interior lots in Chelsea and the Village traded at \$400 to \$500 per buildable foot, sometimes higher, on the assumption that low rates and pandemic-era savings would produce an endless stream of condo buyers willing to pay \$2,000-plus per square foot.

Nexus bought at a 25 to 40 percent discount to those peak prints. That discount is the cushion that makes the construction loan financeable. A lender underwriting a \$300-per-foot land basis can tolerate a longer sellout period, a modest dip in pricing, or a construction delay. A lender

underwriting a \$450-per-foot basis cannot. The difference between those two numbers is not just valuation. It is the difference between a loan that gets approved and a loan that gets kicked back to the credit committee for a second opinion.

The project is now topped out, which means the concrete superstructure is complete. That is the point at which a construction lender has the most capital at risk and the least ability to walk away. The lender has funded the hard costs of the foundation and the frame. The building is physically real. But it is not yet generating revenue, and the sellout risk has not begun to resolve. The lender is now betting on the developer's ability to finish the façade, the interiors, and the marketing campaign without a cost overrun that erodes the basis cushion.

That is the tension. The lender approved the loan because the land basis was low enough to absorb a reasonable range of bad outcomes. But the loan is now at its peak exposure, and the market has not yet tested whether the 2027 buyer will pay the price the pro forma requires.

The developer's clock is also running. Nexus purchased the assemblage in October 2023. The project is scheduled for completion in the second half of 2027. That is roughly four years from land acquisition to certificate of occupancy. Four years of carry, property taxes, insurance, and overhead. Four years of watching interest rates, buyer preferences, and competing supply. Four years during which the basis cushion is the only thing standing between a profitable exit and a workout.

This is the kind of project that works if the developer sells 30 to 40 percent of the units before closing, uses those deposits to pay down the construction loan, and then sells the remaining units at a pace that covers the remaining debt and generates a return. It is the kind of project that fails if the sellout takes two years longer than expected, or if pricing slips 10 percent, or if a wave of competing condo inventory hits the market at the same time.

The market should watch the sales launch. If Nexus can pre-sell 15 to 20 units at a price that implies a stabilized yield on cost above 5.5 percent, the basis math will hold. If the pre-sales are slow or the pricing is soft, the cushion will begin to compress, and the lender will start asking harder questions about the sellout timeline.

For now, the building is topped out, the flag is flying, and the basis is intact. That is more than many New York development projects can say. But the real test is still ahead. The concrete is poured. The question is whether the market will pay the price the concrete requires.

SOURCES

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